

that proclaims, "We don't pay for the future." The growth investor thinks about where the company will be in five years.

---

The market overreacts to news, good or bad.

---

The growthie buys on good news, such as the approval of a new drug, completion of an R&D project, or the receipt of a big contract. And he sells on bad news: the exit of a key manager, loss of market share, or a negative earnings surprise. It is precisely such events that may whet the value buyer's appetite, for the market tends to overreact to bad news, creating a value gap.

The growth investor is buying what everybody agrees is a great company. The value investor is looking at companies most investors believe are in trouble, which explains their knocked-down price.

The value investor is hitting for singles. He will be delighted if he doubles his money in a couple of years; few value ideas pay off better than that. If his analysis is correct and the company is worth more than the market recognizes, however, the downside is limited. The growth investor is going for home runs. He dreams of making five or even ten times his investment. And his downside is considerable, since high-multiple stocks can become average-multiple stocks at the drop of a penny in expected earnings. You never know for sure if a company's going to do what you hope it will.

A growth stock that works—that delivers 15 percent or more annual earnings growth for five years—will more than double your money. You will also experience the thrill of concluding that you are a financial wizard. The high you get from finding a growth winner is very much like what a poker player feels after taking in four large pots in a row.

A growth stock investor does indeed have the soul of a gambler.